Plan Investment Board). In fact, foreign players are the largest investors in Grade A property in India with Blackstone alone holding 70 million square feet in the country. With even single floor plates at times costing upward of Rs 10–20 crore, only a few ultra HNWs have the capacity to invest in such projects. For others, investment in Grade A properties has been through real estate funds, which are actually pooling vehicles (for clubbing together many dozens of investors).

Rental yields from commercial properties are a function of property prices and the underlying interest rates in the country. At 7 to 9 per cent today, these gross yields are far higher than the 1.5 to 3 per cent yields that residential real estate has to offer. Whilst an investor in commercial real estate also hopes for capital appreciation over time, given that the capital appreciation associated with this asset class forms a lower proportion of the overall gains, commercial properties are far safer investments than residential real estate (where capital appreciation is pretty much the only source of gains). Commercial real estate prices have been less volatile in India than residential real estate prices primarily because of the interplay between two forces. Firstly, the end-users of commercial real estate have been businesses. For these businesses, it is imperative to make profits and if the cost of a particular building or location is too high, they will consider moving to some other building or location. This rational frame of mind is very different to the mindset of the residential real estate investor who invests in an overvalued asset and still expects future price appreciation (irrespective of the current cost of the property). These contrasting mental frameworks have created a remarkable anomaly in the Indian real estate market. For example, in Mumbai’s Lower Parel, which is now a thriving central business district, commercial property prices are half that of residential properties. Given that land costs and quality of construction are more or less the same for both sets of properties,[6] it is baffling why commercial properties (which give rental yields that are five to six times that of residential real estate) should be selling at half the price. This again shows the absurdity in the residential real estate asset class and warrants extreme caution from investors.